Corporate Loan Risk Framework

Risk rating

Borrowers can be assessed using financial strength, liquidity, leverage, profitability, business risk, management quality and repayment capacity.

Financial metrics

Typical metrics include Debt / EBITDA, Net Debt / EBITDA, EBITDA interest coverage, free cash flow, operating margin and debt maturity profile.

Covenants

Examples include maximum leverage, minimum interest coverage, minimum liquidity and restrictions on additional debt. Actual definitions must come from legal documentation.

Stress testing

Model revenue decline, margin compression, higher interest expense, working-capital deterioration and refinancing-rate increases.

Example

A fictional borrower has EBITDA of $60 million and net debt of $240 million. Net Debt / EBITDA is 4.0x. With annual interest expense of $15 million, EBITDA interest coverage is 4.0x.